7.	2025-1492523 Terry vs. Jaguar Land Rover North America, LLC	The demurrer of defendants Jaguar Land Rover North America, LLC ("JLRNA") and Jaguar Land Rover Mission Viejo to the first amended complaint ("FAC") of plaintiffs J. Lonnie and Joyce Terry is overruled. [ROA # 88. Defendants' motion to strike is denied. <u>Plaintiffs' FAC</u> This is a Song-Beverly action. Plaintiffs assert six causes of action: (1) violation of Civ. Code §1793.2(d) against JLRNA; (2) violation of Civ. Code §1793.2(b) against JLRNA; (3) violation of Civ. Code §1793.2(a)(3) against JLRNA; (4) breach of implied warranty of merchantability against JLRNA; (5) negligent repair against the dealership; and (6) fraudulent inducement – concealment against JLRNA. Plaintiffs allege that on 8/9/18 they bought a 2018 Jaguar F-PACE. [FAC, ¶ 7.] Prior to purchase, Plaintiffs reviewed Defendant JLRNA's marketing and advertising materials, viewed JLRNA's vehicle-specific window sticker, and took the Vehicle for a test drive. But at no point prior to purchase was Plaintiffs advised the Vehicle and its 3.0-liter engine were defective. [FAC, ¶ 11.] Beginning on 8/6/19, Plaintiffs took the vehicle in for work numerous times for a number of reasons. [FAC, ¶¶ 15-26.] Asserting the discovery rule, equitable tolling, and the repair doctrine, Plaintiffs allege they did not become suspicious of Defendant's concealment of the latent defects and its inability to repair it until shortly before the filing of the complaint, when the issue persisted following Defendant's representations that the Vehicle was repaired and/or working as designed. [FAC, ¶ 47.] Plaintiff always acted diligently in presenting the Subject Vehicle for repairs and following the directives of Defendant's authorized repair personnel. Defendant was under a continuous duty to disclose to Plaintiff the true character, quality, and nature of the Defendant Vehicles suffering from the Defects, and the inevitable repairs, costs, time, and monetary damage resulting from the Defects. Due in part to Defendant's failure to do so, Plaintiff was unable to discover Defendant's wrongful conduct alleged herein until the issues persisted following Defendant's attempts to conform the Vehicle to its warranties. [*Id.*, ¶¶ 48-49.] Further, Plaintiffs allege, Defendant undertook to perform various defects repair measures in the form of TSBs and recalls. During the time in which Defendant represented to Plaintiff that the Vehicle

		was fixable and attempted to fix it, the warranty period may thus have been tolled. Plaintiff discovered Defendant's wrongful conduct alleged herein after the Vehicle continued to exhibit symptoms of defects following Defendant's unsuccessful attempts to repair them. However, Defendant failed to provide restitution pursuant to the Song-Beverly Consumer Warranty Act. [FAC, ¶¶ 54-55.] <u>*Demurrer*</u> *Legal Standard* A demurrer can be used only to challenge defects that appear within the "four corners" of the pleading – which includes the pleading, any exhibits attached and matters of which the court is permitted to take judicial notice. *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994. Limited to the "four corners" as such, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413. On demurrer, a complaint must be liberally construed. Code Civ. Proc. § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601. All material facts properly pleaded, and reasonable inferences, must be accepted as true. *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-967. *First through Fourth Causes of Action – Statute of Limitations on Warranty Claims* Defendants demur to the first four causes of action on the ground that they are barred by the six-year statute of repose in Code of Civil Procedure Section 871.21(a). This statute was enacted as of 1/1/25. Again, Plaintiff bought the vehicle on 8/9/18; they filed their original complaint on 6/24/25. "Statutes of repose effect a legislative judgment that a defendant should be free from liability after the legislatively determined period of time." *PGA W. Residential Assn., Inc. v. Hulven Internat., Inc.* (2017) 14 Cal.App.5th 156, 176 (quoting *CTS Corp. v. Waldburger* (2014) 573 U.S. 1, 8). A statute of repose is, therefore, "harsher than a statute of limitations in that it cuts off a right of action after a specified period of time, irrespective of accrual or even notice that a legal right has been invaded." *Id.* (quoting *McCann v. Foster Wheeler LLC* (2010) 48 Cal.4th 68, 78 n.2); *see also Inco Dev. Corp. v. Superior Ct.* (2005) 131 Cal.App.4th 1014, 1020 ("A statute of repose has nothing to do with the date of injury, but bars all suits after the expiration of a specified time from the manufacture or

		delivery of a product."). Further, unlike statutes of limitations, "substantive statutes of repose are generally not subject to statutory equitable tolling." *PGA W. Residential Assn., Inc., supra*, 14 Cal.App.5th at 221. In opposition, Plaintiff argues that the retrospective application of this statute violates their due process rights, citing to *Rosefield Packing Co. v. Superior Court* (1935) 4 Cal.2d 120, 122-23, in which the Court held: "where the change in remedy, as, for example, the shortening of a time limit provision, is made retroactive, there must be a reasonable time permitted for the party affected to avail himself of his remedy before the statute takes effect. If the statute operates immediately to cut off the existing remedy, or within so short a time as to give the party no reasonable opportunity to exercise his remedy, then the retroactive application of it is unconstitutional as to such party." The only other court thus far that has rendered a published opinion on this issue is *Galdamez v. FCA US LLC* (C.D.Cal. 2026) --- F.Supp.3d ---; 2026 WL 1047004. While Federal District Court opinions are not binding, they can be persuasive. In *Galdamez,* the District Court held that because of the presumption against retroactive application and the fact that there is no indication via the legislative history that the statute was intended to apply retroactively, the motion for judgment on the pleadings pursuant to Section 871.21 should be denied. The District Court stated: > The California Supreme Court has explained that in the absence of a clear legislative intent to the contrary, statutory enactments apply only prospectively. *Evangelatos v. Superior Ct.*, 44 Cal. 3d 1188, 1193–94, 246 Cal.Rptr. 629, 753 P.2d 585 (1988); *Quarry v. Doe I*, 53 Cal.4th 945, 139 Cal.Rptr.3d 3, 272 P.3d 977, 981 (2012) ("In construing statutes, there is a presumption against retroactive application unless the Legislature plainly has directed otherwise by means of express language of retroactivity or ... other sources that provide a clear and unavoidable implication that the Legislature intended retroactive application."); *Niagara Fire Ins. Co. v. Cole*, 235 Cal. App. 2d 40, 42–43, 44 Cal.Rptr. 889 (1965) ("[A] statute shortening the period of limitations cannot be applied retroactively to wipe out an accrued cause of action that is not barred by the then applicable statute of limitations.... Even when applied prospectively, the claimant must be allowed a

reasonable time within which to proceed with his cause of action.") (citation omitted).

Galdamez v. FCA US LLC (C.D. Cal., Mar. 23, 2026, No. 2:25-CV-10618-HDV-MAR) 2026 WL 1047004, at *2.

This court finds the *Galdamez* analysis persuasive. Accordingly, the demurrer to these causes of action is overruled.

Fifth Cause of Action for Negligent Repair

The fifth cause of action is against Defendant Jaguar Land Rover Mission Viejo for negligent repair.

The elements of negligence are "(1) a legal duty to use due care; (2) a breach of such legal duty; [and] (3) the breach as the proximate or legal cause of the resulting injury." *Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.

Defendants demur to Plaintiffs' fifth cause of action on two grounds. First, Defendants contend Plaintiffs fail sufficiently to allege a claim for negligent repair because they do not allege facts rather than conclusions. Second, Defendants contend Plaintiffs' action for negligent repair is barred by the economic loss rule.

<u>Failure to State</u>

Plaintiffs allege that "Jaguar Land Rover Mission Viejo breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards." [FAC ¶ 84.]

This is the pleading of ultimate facts – which is all that is necessary at this point.

As a well-regarded practice guide has stated: "Ordinarily, negligence may be alleged in general terms, without stating the acts constituting negligence or detailing the particular manner in which plaintiff's injury occurred." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2023) ¶ 6:129.)

Reading the FAC liberally, as the court must, Plaintiffs have alleged the essential elements, including damages, for negligent repair. [FAC, ¶ 85.] That is sufficient for pleading purposes. The rest is a matter for discovery.

<u>Economic Loss Rule as Applied to Negligence Cause of Action</u>

According to Defendants, the economic loss rule precludes recovery in tort where a plaintiff's damages consist solely of economic loss. Additionally, tort claims are barred "when they arise from — or are not independent of — the parties' underlying contracts." *Sheen v. Wells Fargo Bank, N.A.*, 12 Cal.5th 905, 923-24 (2022) (*citing Robinson*, 34 Cal.4th at 991; *Erlich v. Menezes*, 21 Cal.4th 543, 551, 552 (explaining that "[t]ort damages have been permitted in contract cases" when "the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm").

> But the economic loss rule does not act as an *absolute* bar to tort recovery in every case in which the parties have a contractual relationship. Courts generally permit tort suits if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties' contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered into the contract. The ability to recover for an independent tort is a fundamental principle that our courts have broadly applied even where the economic loss rule is not directly implicated.

Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 23 (footnote omitted).

The court in *North American Chemical* explained: "[F]or over fifty years California has also recognized the fundamental principle that '[a]ccompanying every contract is a common-law duty to perform with care, skill, reasonable expedience, and faithfulness the thing agreed to be done, and a negligent failure to observe any of these conditions is a tort, as well as a breach of contract.'" *North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 774. "A contract for the performance of services, as we have already discussed, necessarily carries with it both the reasonable expectation and implied at law promise that it will be performed with reasonable care." *Id.* at 785.

Having found the existence of a duty sufficient to support a negligence claim, the court in *North American Chemical* proceeded, in a separate portion of the opinion, to hold that the economic loss rule did *not* apply to service contracts, where the economic loss was foreseeable (a *Biakanja* factor.) *Id.* at 770.

But even if the economic loss rule applied to an action for negligently performed services provided pursuant to contract, that does not make it applicable here. *Sheen v. Wells Fargo Bank, N.A.*

		(2022) 12 Cal.5th 905, 922, 923-925 (finding tort claims for monetary losses between contractual parties are barred by the ELR when they arise from or are not independent of the parties' underlying contracts). Plaintiffs assert a claim for negligent repair by the dealer, which is not alleged to be based on any contract with the dealer for services. And while the gravamen of the claim is apparently that the dealer failed to repair Plaintiff's vehicle *to conform to warranty*, so that the claim arises from and is dependent on the warranty contract, the dealer is not the one that issued the warranty. What the complaint, as alleged, says is simply that Villa Ford "breached its duty to Plaintiff to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards." [FAC, ¶ 62.] The demurrer to the fifth cause of action is overruled. *Sixth Cause of Action for Fraudulent Concealment* The elements of fraud are: "(a) [a] misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638; *see also Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974. Specific to a fraudulent concealment or omission claim, the plaintiff must allege: (1) the defendant concealed a material fact; (2) the defendant had a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed fact; and (5) as a result of the concealment of the fact, the plaintiff sustained damage. *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 748. There are four circumstances in which concealment/omission may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. *Limandri v. Judkins* (1997) 52 Cal.App.4th 326, 336-337; CACI 1901. "In California, fraud must be pled specifically; general and conclusory allegations do not suffice." *Lazar, supra,* 12 Cal.4th 631, 645, citing *Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 74. "This particularity requirement necessitates pleading *facts* which

		'show how, when, where, to whom, and by what means the representations were tendered." *Id.* In cases against corporate employers, "the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.'" *Id.*, citing *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157. > If the duty to disclose arises from the making of representations that were misleading or false, then those allegations should be described. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC, supra,* 162 Cal.App.4th 858, 877–878, 76 Cal.Rptr.3d 325.) However, as noted above (*ante* in fn. 18 on p. 294), plaintiffs have apparently abandoned their earlier claims of intentional and negligent misrepresentations. As plaintiffs accurately respond, it is harder to apply this rule to a case of simple nondisclosure. "How does one show 'how' and 'by what means' something didn't happen, or 'when' it never happened, or 'where' it never happened?" *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384, *as modified on denial of reh'g (Mar. 18, 2009)* Defendant JLRNA demurs to Plaintiffs' fraudulent concealment cause of action on two grounds. First, JLRNA contends that Plaintiffs have not alleged fraudulent concealment with sufficient specificity. Second, JLRNA contends that Plaintiffs have not alleged a transactional relationship that gives rise to a duty to disclose. Duty to Disclose/Direct Transaction or Contract The court in *Bigler-Engler, Inc.* (2017) 7 Cal.App.5th 276, held that: "A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as 'seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.'" *Id.* at 311. "Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a 'transaction' between the plaintiff and defendant: 'In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.'" (*Id.* at 311). "Such a

transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." *Id.* at 312.

In *Bigler-Engler*, no seller and buyer or contractual relationship existed between the plaintiff and manufacturing defendant. *Id.* at 314. There, the manufacturing defendant sold medical devices to the doctor defendant several years before the plaintiff rented one of the manufacture's devices from the doctor's office. *Id.* Therefore, the manufacturing defendant had no contact with the plaintiff, did not know plaintiff was a potential user of their products or used the device, and did not derive any direct monetary benefit from the plaintiff's rental of the device. *Id.*

Conversely, here, Plaintiffs do allege a relationship with JLRNA, because they entered into a warranty agreement. Unlike in *Engler*, the warranty is provided directly from JLRNA to Plaintiffs. While Plaintiffs did not deal with JLRNA itself, they dealt directly with its authorized dealership as the agent of Defendant JLRNA.

Further, the court in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844 directly addressed the issue and found that a car buyer need not allege a contract with the manufacturer in order to allege a duty to disclose:

> Nissan argues plaintiffs did not adequately plead the existence of a buyer-seller relationship between the parties, because plaintiffs bought the car from a Nissan dealership (not from Nissan itself). At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs' allegations are sufficient. Plaintiff alleges that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs' claim is barred on the ground there was no relationship requiring Nissan to disclose known defects.

Dhital, supra, 84 Cal.App.5th 828, 844. Review of *Dhital* was dismissed on December 18, 2024, following the issuance of *Rattagan. (Dhital v. Nissan North America* (2024) 327 Cal.Rptr.3d 898 (Mem). *Dhital* therefore is controlling authority regarding fraudulent inducement claims. Cal. Rule of Court 8.528(b)(1).

Here, Plaintiffs allege that prior to purchasing the vehicle they reviewed Defendant JLRNA's marketing and advertising materials,

		viewed JLRNA's vehicle-specific window sticker, and took the vehicle for a test drive. [FAC, ¶ 11.] This is not a lot. But these allegations give rise to the inference that Plaintiffs relied on Defendant's representations about the vehicle in deciding to purchase it – whether directly or through its authorized agent. The court finds this sufficient to allege a transactional relationship giving rise to a duty to disclose. As for concealment, Plaintiffs allege in some detail Defendant's prior knowledge of the engine defect, intentionally limited repairs, and lack of disclosure to the public and Plaintiffs themselves. [FAC, ¶¶ 92-114.] This is sufficient. Accordingly, the demurrer to this cause of action is overruled. *<u>Motion to Strike</u>* Punitive damages are permissible in a tort action "where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice." Civ. Code § 3294(a). Fraud is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." Civ. Code § 3294(c)(3). When assessing a challenge to punitive damages via a motion to strike, a court must determine whether the complaint "states facts sufficient" to show that the defendant is "guilty of oppression, fraud or malice." *Turman v. Turning Point of Cent. California, Inc.* (2010) 191 Cal. App. 4th 53, 63. But here, Defendants unsuccessfully challenged the fraudulent concealment cause of action. The FAC sufficiently alleges a cause of action for fraud for the reasons stated above. Accordingly, the motion to strike punitive damages is denied.
8.	2025-1529712 Lorton vs. Peak Power Solutions, Inc.	*<u>Demurrer</u>* Defendants Peak Power Solutions Inc., Richard Matthew Stoutenburg, Dave Shanholtzer, Cheryl Andrea Stoutenburg's Demurrer is sustained as to the sixth cause of action for declaratory relief only in Plaintiffs Michael Lorton, Nicole Lorton, Lucas Lorton, and Jacob Lorton's Complaint. The remainder of the Demurrer is overruled. Moving Defendants are ordered to answer the Complaint within 20 days.